The problem with simple transplantation

> *Every bad policy has been adopted in at least one good country.*
>
> Ashok Desai

When faced with a policy question—e.g., the working of agricultural markets—one easy path is to do a literature survey of what advanced economies are doing. As an example, the policy thinker may study the working of agricultural markets in the US, the UK, Australia and Canada. Some combination of the institutional apparatus seen in these countries might then be proposed as a policy reform for India.

In this age of Google searches, many policy notes in India are written in this fashion. A problem is proposed, the experience of a few mature market economies is reviewed, a few countries are identified where the outcomes are good, and some remix of the solutions adopted in those countries is proposed. This is particularly taking place with young law students and people who have studied outside India.

We would argue that this is a faulty way to do policy thinking.

Go beyond description to understand why things work

Practitioner knowledge from other countries is generally of a descriptive nature. A UK insolvency practitioner can describe how the UK insolvency process works. But the problem in policy analysis is that of going below the ‘thin description’ to understand *why* something works. What are the incentives that hold the pieces together? What is the combination of norms, laws and enforcement that produce good behaviour?

For these reasons, practitioner knowledge has limited value in policy thinking. As Lant Pritchett says, a First World policy practitioner is a bit like a New York taxi driver. The taxi driver knows how to perform rides and